

TAXCASE REVIEW

IRS RESOLUTION INTELLIGENCE

FREE GUIDE

Contractor Tax Survival Guide

The seasonal risk pattern behind most
contractor IRS problems — and how to avoid it.

Romy Cruz, EA

Licensed Enrolled Agent | 15 Years IRS Tax Resolution Experience

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Why Contractors Are Different

Roofers, HVAC techs, electricians, and general contractors face a tax risk pattern that office-based businesses don't: seasonal cash flow gaps that collide directly with quarterly 941 payroll deposit deadlines. A slow winter or a late-paying client can mean payroll tax money gets used to cover materials and crew wages — and that decision becomes a federal tax problem within a year.

The Seasonal Risk Calendar

Month	What's Happening
February	941 deposits due Feb 15. CP2000 notices for unreported 1099 income start arriving.
April	Highest IRS notice volume of the year. Q1 estimated payments due.
June	Contractors most at risk — seasonal cash flow gaps collide with Q2 deposits due Jun 15.
July	TFRP assessments spike. 941 deposits due Jul 15.
August	Peak lien filing month — IRS records the most NFTLs of the year before fiscal year end.
September	Maximum enforcement. Revenue Officers close cases aggressively before fiscal year end Sep 30.

Risk Patterns by Trade

Roofing & General Contracting

Crew payroll often gets prioritized over 941 deposits during slow stretches. The most common path to TFRP exposure in this trade.

HVAC

Summer revenue spikes create a temptation to delay quarterly deposits, assuming next quarter's cash will cover the gap. It often doesn't.

Electrical

Equipment financing payments sometimes get misclassified as deductible expenses rather than income, distorting the true tax position.

Trucking & Logistics

Multi-year unfiled 941s are common when bookkeeping falls behind during rapid fleet growth.

Landscaping

Crew reclassification from 1099 to W-2 is a frequent IRS audit trigger when worker classification doesn't match actual control and supervision.

Three Things to Do Before Year End

1. Confirm your last four quarters of 941 deposits actually posted — not just that you submitted them.
2. If you've used payroll tax money to cover a cash flow gap even once, get ahead of it now before August's peak lien filing window.
3. If a worker classification audit is even a remote possibility, document the actual working relationship now, not after a notice arrives.

Talk to Someone Who Understands Contractors

Free 15-minute case review with Romy Cruz, EA — Licensed Enrolled Agent, 15 years of IRS tax resolution experience. We'll walk through your exact situation and tell you which options apply.

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Tax situations vary significantly. This guide is for informational purposes and does not constitute legal or tax advice.